

SELECTING AN ENTITY

Selecting an entity depends on your goals and your vision for your business. Here are some general questions to help you decide.

- What is your exit strategy? Go public? Sell to private investors?
- What is your growth strategy?
- What is your liability exposure in the worst case?
- Do you plan on raising capital now, or in the future?
- Do you plan to hire employees?
- Do you plan to take on new partners?
- Do you plan on earning profits fast? Or not for a while?

Your answers will determine the best entity for you. In my businesses, I use both an S corp and an LLC. And finally, I'm not an accountant or an attorney and this should not be construed as professional advice, so please, consult with someone who has the appropriate credentials to verify (or disprove) what I recommend.

CHAPTER SUMMARY: FASTLANE DISTINCTIONS

- "Pay yourself first" is fundamentally impossible in a job.
- To own your vehicle (you), start a corporation that formally divorces you from the act of business. Your corporation is the body of your surrogate.
- The recommended Fastlane business entity is a C corp, an S corp, or an LLC.